1.

a) i) Foreign direct investment is spending of capital by foreign entities projects and firms in another country, for example multinationals investing in domestic North Macedonian firms.

ii) The unemployment rate is the percentage of people who are able to work but are not employed in the economy.

b i) ~~2016 ... $\left(\frac{110.9-109.4}{109.4}\right)\times 100 = 1.37\%$~~

~~2017 ...~~

~~2018 ...~~

2016 to 2017 year: $\left(\frac{110.9-109.4}{109.4}\right)\times 100 = 1.37\%$

2017 to 2018 year: $\left(\frac{112.5-110.9}{110.9}\right)\times 100 = 1.44\%$

2018 to 2019 year: $\left(\frac{113.4-112.5}{112.5}\right)\times 100 = 0.8\%$

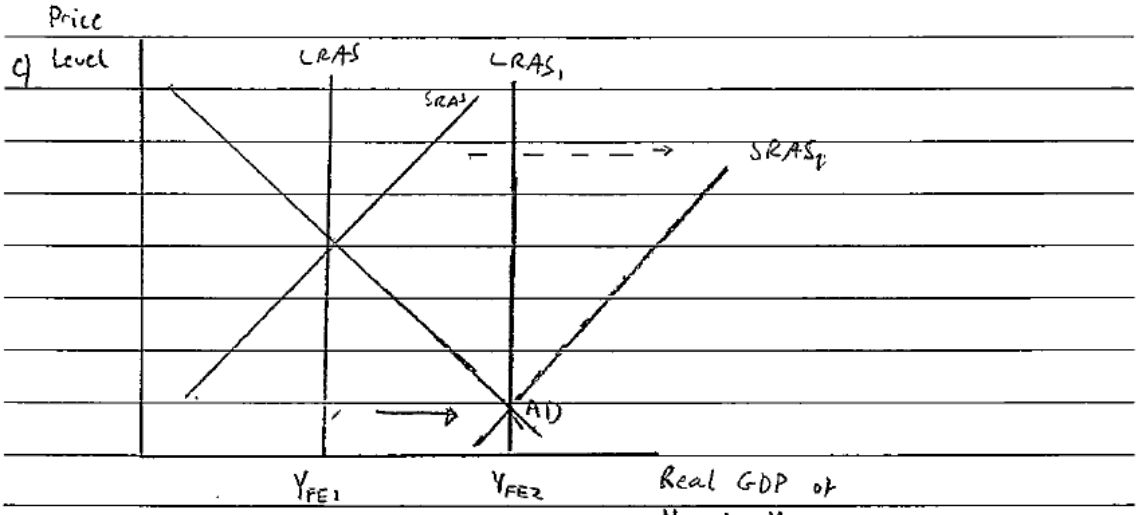
ii) Disinflation began in 2018

iii) ~~7.57 - 9.56 = $ -1.99 billion~~

$7.57 billion - $9.56 billion = -$1.99 billion

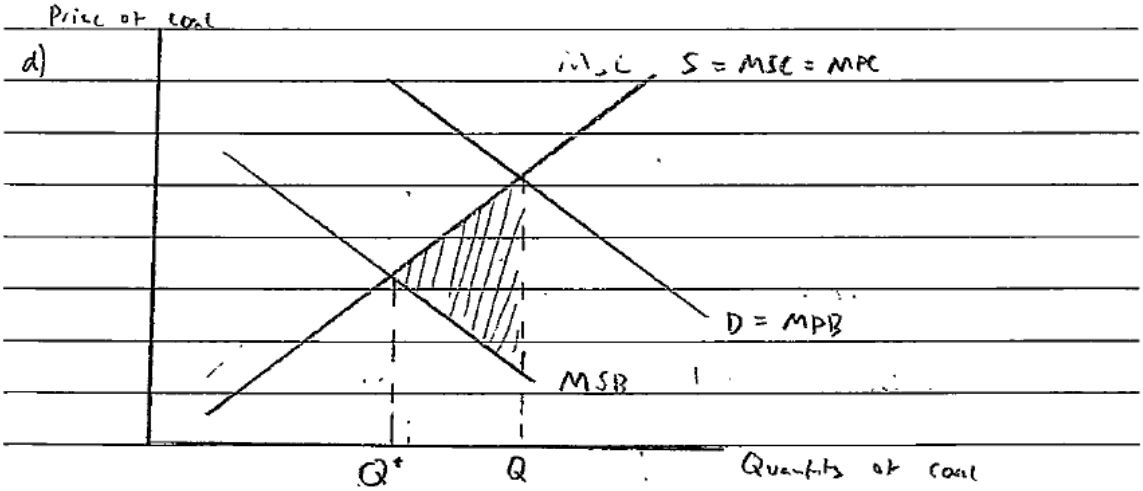
or $1.99 billion trade deficit

c)



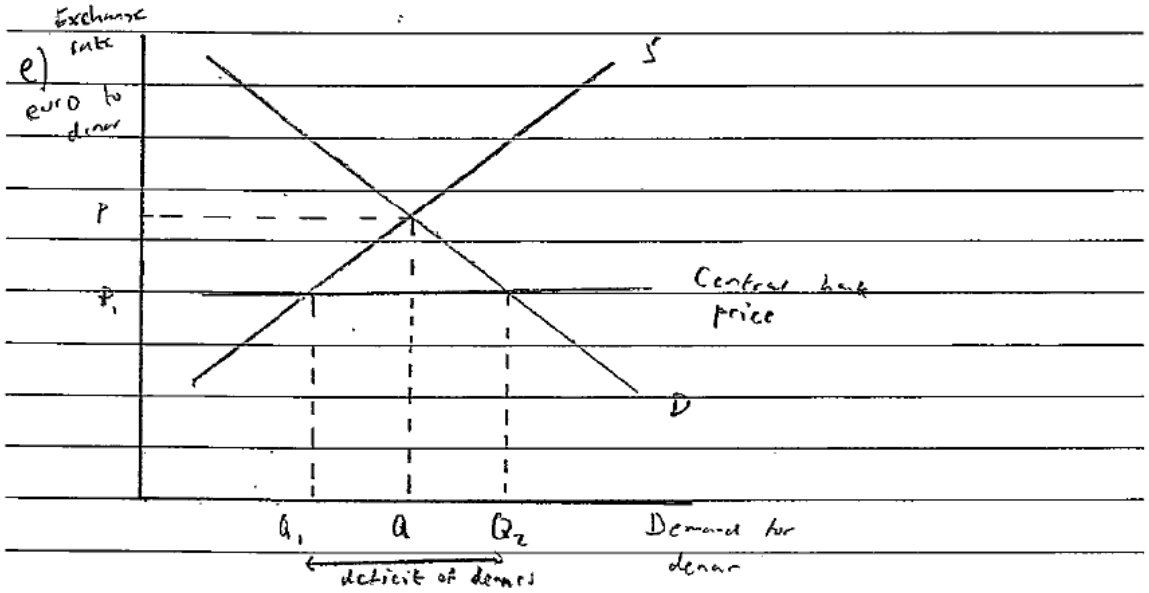
The supply side policies will increase the potential output of the economy by raising human capital and creating infrastructure. The ~~is~~ full employment level of output will then increase from Y_{FE1} to Y_{FE2}, and so the LRAS curve will follow. Eventually, producers will be able to take advantage of this increased potential output, and so SRAS will ~~move~~ increase to $SRAS_1$, producing a higher real GDP.

d)



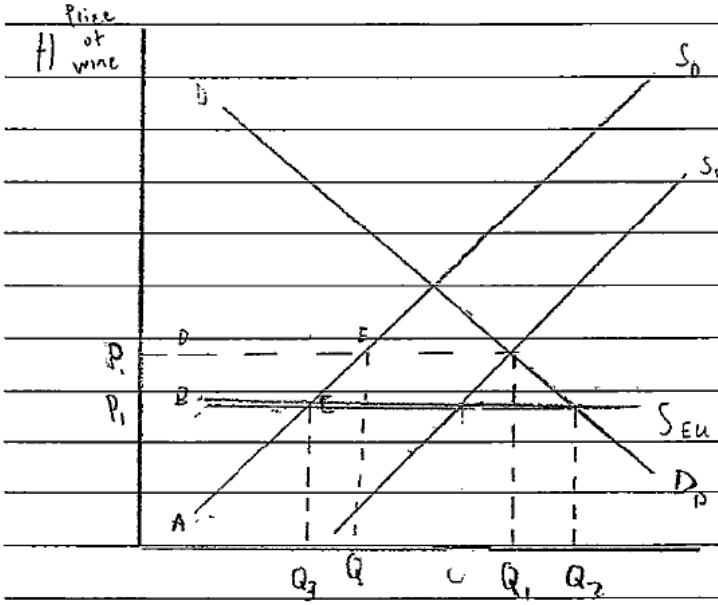
Coal represents a negative externality of consumption. When it is consumed to create power, it generates an unpriced social cost in the form of pollution to the environment. This means the benefit society gets from burning a unit of

Coal (marginal social benefit, MSB) is less than the benefit one consumer gets from the power that burning coal generates (marginal private benefit, MPB). Since the free market operates only on private cost and benefit, supply and demand reach an equilibrium at quantity Q. However, if we include the cost of pollution, the most socially efficient quantity is seen at Q^*. The market has failed to allocate resources in the best way for society, so this is a source of market failure. We can see this failure in terms of the welfare loss to society through the overconsumption of coal - on the diagram this is the shaded area.



In a floating exchange rate system, the supply of dinars being sold would equal the demand for dinars to be bought, setting the exchange rate at price P. However, in order to make the country's exports more attractive, the central bank needs to keep the currency value low. They set a price lower than the equilibrium in order to keep the dinar from appreciating, and offer to buy and sell dinars at this price. This creates a higher demand than supply, so the bank must increase the supply of currency. It does this by using foreign currency reserves to make up the deficit

and stop the dinar appreciating against the euro.



With a quota on the amount of wine able to be imported, and no change in domestic demand for wine (D_D), the price of wine is slightly above the price EU producers can supply it for (S_{EU}). This means local Macedonian producers have a producer surplus of ADE, and supply Q is produced locally.

When the quota is removed, EU producers are able to trade freely, causing the price to drop to P_1 and the quantity demanded to increase to Q_2. However, fewer local producers are able to compete at this lower price, so the quantity produced locally falls to Q_3, and the producer surplus shrinks to ABC. North Macedonia's production of wine will fall, unable to compete with EU producers.

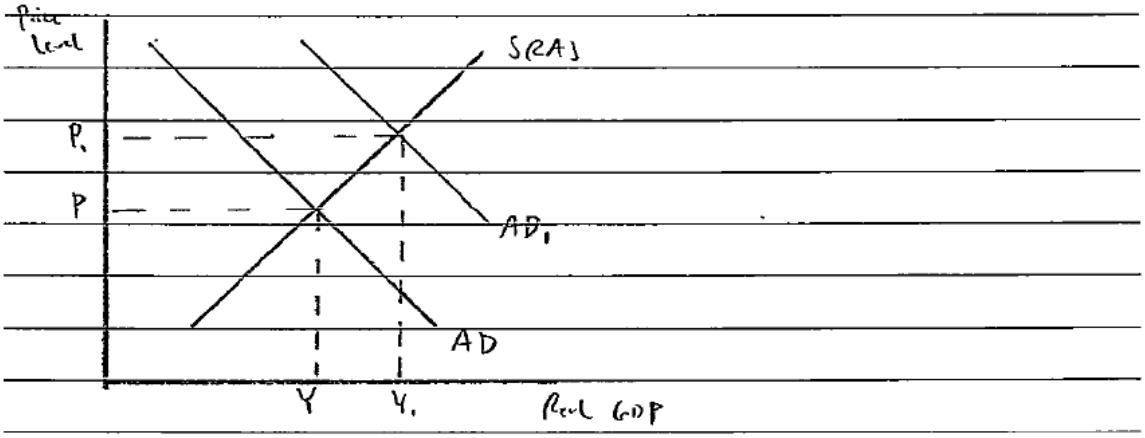
1.

g) North Macedonia's entry to the EU will remove trade barriers and allow free movement of labour and capital across N Macedonia's borders to Bulgaria and Greece, and on to the ~~eastern~~ rest of the continent. It will make Macedonia attractive to tourists and investors, and give it far more ~~g~~ geopolitical presence when dealing with other countries. However, joining any common market does force governments to relinquish many useful tools of economic policy and it will be crucial for the North Macedonian government to make sure their existing human, ~~brand~~ ability, physical capital ~~and~~ and domestic firms are not exploited against their interests.

The most immidiate consequence of joining the EU Common Market will be that on ~~human~~ the workforce. Paragraph 6, Text A mentions the high percentage of emigration, 20% of the population since 1994. Presumably, with more open borders and no visa requirement to work, this number will increase even further. N Workers in Macedonia's large manufacturing sector (31% of the labour force, Paragraph 5, Text A) may choose to do the same work for more pay in a ~~richer~~ stronger economy such as Germany or France. This flight of human capital would mean that the government's efforts on increasing training and education as part of a supply-side policy (Text B, Paragraph 2) would be wasted as the skilled workers leave the economy. However, profits from labour in the rest of the EU ~~will~~ may be repatriated to families in Northern

Macedonia, increasing income, savings & consumption and investment and thereby growing the economy. To keep workers and, importantly, workers' families in the country, it may be advisable for the North Macedonian government to keep up the quality of public services and standards of living.

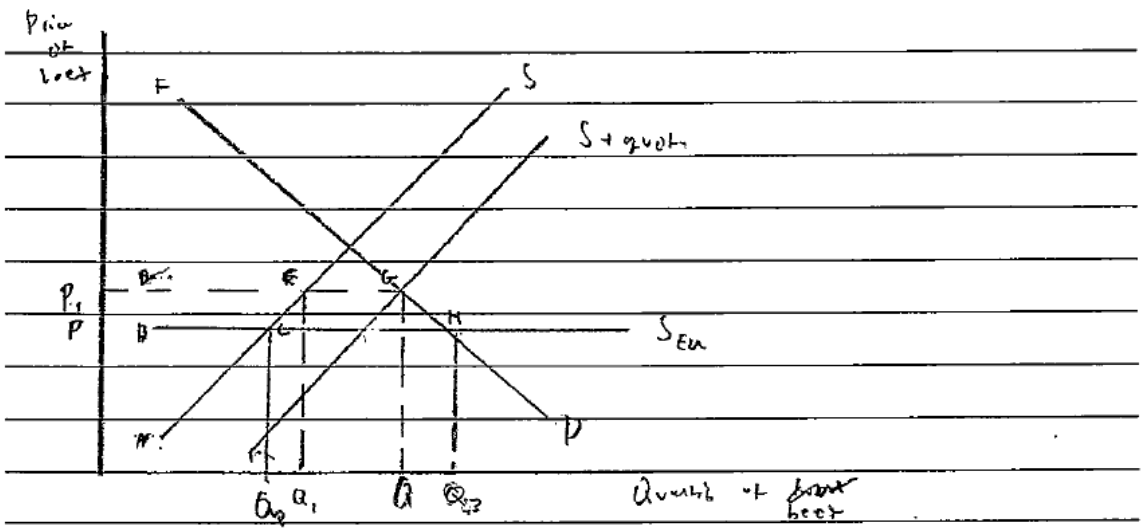
Another benefit of membership mentioned in the text is the likelihood of an increase in foreign direct investment from EU companies, now that there will be no customs borders or tariffs (Text A, paragraph 7). ~~Investment, be it in companies or otherwise, is a component of aggregate demand.~~ Text B, Paragraph 4 also mentions the flow rate of corporate tax, which should further encourage FDI. Investment, be it in companies or otherwise, is a component of AD, and an increase in investment can be seen on an AD/AS diagram.



The increase in AD caused by FDI, as well as business and consumer confidence due to the membership, causes a rise in real GDP of the North Macedonian economy. However, it also causes a correspondig rise in price level, which represents inflation. The growth attended to the North Macedonian economy is likely to produce inflation, and it is up to the ~~North~~ government to combat this rise in price levels to protect savings and everyday consumers.

We see in Table 1 that Macedonia is experiencing disinflation and is currently at a low level of inflation (< 1%). However, if inflation increases, the government may be forced to enact contractionary ~~fiscal~~ policy. ~~As Paragraph 4 states~~ Table 2 shows the negative current account, and so the government may choose to enact monetary policy due to its speed and low cost compared to fiscal ~~policy~~ policy. This would include an increase in interest rates, encouraging savings and dropping consumption and therefore AD. However, due to the need to increase exports and rectify the trade deficit shown in Text A, Paragraph 4, the central bank needs to keep the dinar from ~~appreciating~~ appreciating against the euro (Text B, Paragraph 4). A rise in interest rates may make the currency more attractive to foreign buyers, and therefore increase the price of exports and make them less competitive on the international markets. ~~Therefore, this is no perfect policy to solve it~~ ~~inflation gets too high~~ This will result in ~~the~~ the central bank using up foreign reserves ~~the~~ and other measures to keep the exchange rate fixed, ~~or~~ which is a policy that cannot last forever, even with the ~~the~~ increasing foreign reserves shown in Table 2. Due to these the complex factors described above, it is important for North Macedonia to manage inflation closely and not to be forced by ~~into~~ this situation when ~~by~~ joining the Common Market.

Another risk North Macedonia is taking by joining the Common Market is potentially jeopardising its local producers. Text C states that most of its trade with the EU is currently free, but notes that 95% of its exports are under free trade deals, while only 78% of its imports are. This allows the North Macedonian government to implement protectionist measures such as tariffs and quotas, ~~as~~ ~~mentioned~~ and As outlined in part a) and the quota diagram. Removing ~~the~~ ~~other~~ quotas harms local producers, as shown on the diagram below:



(Text C)

As discussed in part H), the removal of the quota for beet, for example, reduces North Macedonian domestic producer surplus from ADE to ABL, and increases quantity imported from Q-Q_1 to Q_2-Q_0. This loss to domestic producers is also a gain to local consumers, as their surplus increases from FDG to FBH. However, local farmers are not to be neglected in the move to the Common Market, because often they represent a large amount of political power as well as independence from EU producers. Joining the Common Market exacerbates this, because the EU customs union decides which foreign goods to impose trade barriers on, a decision which North Macedonia, as a small single member state, will not be able to exert much influence on. It is important, therefore, for the North Macedonian government to consider alternative strategies they can control, for example subsidising local producers, in order to protect their own interests and the interests of their citizens.

North Macedonia's joining of the EU will undoubtedly cause economic growth, but it will be important for the government to fix infrastructure gaps (Text B, P4), improve living conditions, control inflation and protect human capital and producers in their own economy from being exploited.